

3) Distinguish between the current and capital account of BoP.

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4) What is the significance of balancing items of the BoP account?

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8.6 BoP ACCOUNTING: AN EXAMPLE OF INDIA'S BoP

Let us understand various components of BoP by having an example of India's BoP. The following table illustrates the items mentioned in BoP of India and a brief account of the items is explained below the table.

Table 8.1: India's Overall Balance of Payments - US Dollar

Item/Year	(US \$ Million)		
	2021-22		
	Credit	Debit	Net
1	17	18	19
A. Current account			
1. Merchandise	429164	618623	-189459
2. Invisibles (a+b+c)	369600	218906	150694
a) Services	254527	147011	107516
b) Transfers	89322	8875	80447
c) Income	25751	63020	-37269
Total Current account (1+2)	798764	837529	-38766
B. Capital account			
1. Foreign investment	478000	456191	21809
2. Loans	105457	71851	33605
3. Banking capital	102886	96217	6669
4. Rupee debt service	0	71	-71
5. Other capital	75059	51265	23794
Total capital account (1 to 5)	761402	675595	85807
C. Errors & omissions	1433	974	459
D. Overall balance	1561599	1514098	47501
E. Monetary movements (i+ii)	16024	63524	-47501
i) I.M.F.	0	0	0
ii) Foreign exchange reserves (Increase- / Decrease+)	16024	63524	-47501
G.n.i.e.: Government not included elsewhere.			
Notes: 1. Data for 2021-22 are preliminary estimates			
2. Total may not tally due to rounding off.			

Source: The Handbook of Statistics on the Indian Economy 2021-22, RBI, Mumbai

The Table 8.1, exemplifies India's BoP account for the financial year 2021-22. It shows the main items of transactions with some simplifications. The total receipts in the trading account show the balance from exports and imports of merchandise only. These include the physical movement of goods, i.e. manufacturing products, semi-finished goods, capital goods, raw materials, agricultural products, etc. During 2021-22, India has a deficit in trade account to the extent of -189459 million \$. This trade account deficit is because of excess merchandise imports (debit) over merchandise exports (credit). The next item is Invisibles which are divided into three components: (i) services, (ii) transfer payments, and (c) investment income.

Services include (a) travel and tourism; (b) transportation; (c) financial and other services including insurance; (d) government; (e) software services exports, etc.

Investment income refers to receipts (credit) and payments (debit) of dividends, interests, and profits arising out of Indian investments abroad and foreign investments in India.

Transfer payments do not represent payment for any direct service rendered or any physical transfer of goods. They are like foreign aid, gifts, foreign workers' remittances to their home countries, etc. Workers' remittances are sizable amounts (\$80447 million) and form a very important component of transfer payment accounts in India. It is to be noted that mainly on account of this a surplus of \$107516 million was achieved under this head during 2021-22.

The *current account* balance of \$ 38766 million (a sum of items I and II) refers to the balance in flows of goods (merchandise) and services and other current receipts and payments (investment income and transfer payments) between countries. India had a deficit in the trading account (item-I) and a surplus in the invisible account (item-II) but owing to the large deficit in the trading account India had a net deficit in the current account (item III) to the tune of \$ 38766 million.

The capital account is a miscellaneous account. The two main types of transactions in the capital account on the credit (or receipt) side are foreign investments and borrowing abroad. These are the import of capital, but unlike the import of goods and services, these are mentioned on the credit side because the import of capital means foreign exchange earned. The corresponding debit (or payments) items are investments abroad and leading. Taking all the items into account one gets total capital account payments and receipts. The table shows that India had a capital account surplus during 2021-22 to the tune of \$ 85807 million.

Despite transactions being recorded, based on the double-entry method discrepancies crop up between debits and credits because of data lags and other estimation problems. These discrepancies are captured under '*errors*' and '*omissions*'. A negative value indicates that receipts are overstated, payments are

understated, or both, and *vice versa*. The overall balance is obtained as a sum of the current account and capital account after adjusting for errors and omissions. India had an overall surplus balance of \$47501 million in 2021-22. An overall surplus means that India has a claim on the rest of the world.

The monetary movement account of BoP records changes in the amount of ‘official’ reserve assets. *Official* reserve assets include gold, foreign currencies, and the IMF’s special drawing rights (SDRs) reserve positions. The deficit means that the rest of the world has a claim on India, which is an asset for the rest of the world. The deficit is officially settled by corresponding entry on the credit side as import of capital or increase in foreign currency reserves.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Briefly explain the elements of BoP accounting.

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2) What do you mean by the monetary movement account of BoP?

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3) What is the overall balance?

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4) What are transfer payments?

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8.7 NATURE AND IMPLICATIONS OF DISEQUILIBRIUM

The problem of judging the equilibrium position of a country’s balance of payments becomes fairly complicated and takes outside the sphere of bookkeeping. According to *Czinkota*, the mechanics of disequilibrium in BoP often follow a similar path of development:

i) A country that experiences a rapidly expanding current account deficit will simultaneously build financial account surpluses.

- ii) The capital that flows into a company, giving rise to the financial account surplus, acts, as the '*financing*' for the growing merchandise/services deficits-the constituent components of the current account deficit.
- iii) Some events, whether it is a report, a speech, or an action by a government or business inside or outside the country, raises questions about the country's economic stability. Investors of many kinds, portfolio and direct investors in the country fearing economic problems in the near future, withdraw capital from the country rapidly to avoid any exposure to this risk. This is prudent of the individual but catastrophic for the whole if all individuals move similarly.
- iv) The rapid withdrawal of capital from the country, also known as '*capital flight*', results in the loss of the financial account surplus, creating severe deficits in the country's overall balance of payments. This is typically accompanied by rapid currency depreciation (if a floating-rate currency) or currency devaluation (if a fixed-rate currency).

International debt and economic crises have occurred for as long as there have been international trade and commerce. And they all will occur again. *Each crisis has its unique characteristics, but all follow some of the economic fundamentals.* There are several causes and each country will have a unique set of circumstances. In short, some of the common wider economic effects of the BoP crisis or disequilibrium are:

- i) need to import financial capital to achieve balance;
- ii) currency weakness and higher inflation;
- iii) may run short of vital foreign currency reserves;
- iv) lack of price/non-price competitiveness;
- v) can lead to capital flight/loss of investor confidence.

A current account deficit, if persistent, is not sustainable because, on the one hand, foreign capital may take a dim view of the country's ability to meet its foreign obligations and, therefore, cut down the flows, and on the other hand, monetary movements, particularly domestic reserve account may also find the deficit unmanageable and get drained. Since a deficit represents an imbalance between demand for and supply of foreign exchange, a persistent presence of this imbalance can destabilize the currency.

A persistent surplus in the current account is also not desirable because it means that either the country invests the surplus abroad for another country's development or it allows its currency to appreciate. The former does not add to GDP; the latter slows down GDP growth by crowding out exports. What is desirable is a current account surplus, as it enhances the capacity of the country to generate an excess of exports over imports, sufficient to pay for charges on account of interest or dividends on foreign capital.

8.8 POLICY MEASURES FOR CORRECTING DISEQUILIBRIUM

Several policies can be introduced to improve a country's trade balance. The measures are:

- i) Adjustment through Exchange Depreciation.
- ii) Devaluation or Expenditure-Switching Policy.
- iii) Direct Controls.
- iv) Adjustment through Capital Movements.
- v) Adjustment through Income Changes.
- vi) Stimulation of Exports and Import Substitutes.
- vii) Expenditure-Reducing Policies.

Some of these measures focus on changing the growth of demand while others look to improve an economy's supply-side competitiveness. As with any macroeconomic '*problem*,' effective policies are those that target the underlying causes. The real solution lies in earning more foreign exchange through additional exports or reducing imports. Quantitative changes in exports and imports require policy changes. Such policy measures are in the form of monetary, fiscal and non-monetary measures. Non-monetary methods are more effective than monetary methods and are normally applicable in correcting an adverse balance of payments.

There are two possible courses of action: *expenditure reduction policy* or *expenditure-switching policy* or some combination of both. The **expenditure reduction policy** aims to dampen the level of aggregate demand in the domestic economy so that the demand for imported goods and services is reduced. Unfortunately, dealing with a balance of payments deficit in this way has deleterious consequences for some of the other major macroeconomic objectives. Thus a lower level of demand is likely to constrain and affect an increase in unemployment. Balance of payments equilibrium should not be relentlessly pursued at the expense of other goals or objectives.

Expenditure-switching policies intend to switch domestic and foreign demand away from foreign goods and towards home-produced goods. The objective is to encourage overseas residents to buy more exports and to induce domestic residents to purchase home-produced goods and services instead of imports. This requires modifications in consumption behaviour. The most obvious method is to *devalue* the domestic currency. Currency devaluation induces relative price changes that favour the products of the devaluing economy. There must be a reasonable degree of price elasticity of demand for exports and imports. It is generally recognized that the price elasticity of demand for exports plus the price

elasticity of demand for imports must be greater than 1 (the noted Marshall-Lerner condition).

It should be noted that several additional measures are available to governments, each of which also has expenditure-switching properties. These include import controls, export promotion, and the promotion of domestic industry by fiscal or other means. A realistic exchange rate, low tariffs, and minimal trade transaction costs should guide exports. *To sum up*, the correction of disequilibrium calls for a judicious combination of the following measures:

- i) Monetary and fiscal changes affecting income and prices in the country;
- ii) Exchange rate adjustment, i.e., devaluation or appreciation of the home currency;
- iii) Trade restrictions, i.e., tariffs, quotas, etc.; and
- iv) Capital movement, i.e., borrowing or lending abroad.

No reliance can be placed on any single tool. There is room for more than one approach and more than one device. But the application of the tools depends on the nature of the disequilibrium. Countries can be in very different positions concerning the balance of payments. It is, important to understand a country's balance-of-payments situation intelligently. To understand the nature of a deficit one has to judge it against the background of the general economic policy of a country and the policy means a country has at its disposal. The country must in general try to implement policy measures aimed at reducing the deficit. Surpluses do not usually create great problems. International capital flows play an important part in equilibrating the balance of payments.

Check Your Progress 4

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) What are the common wider economic effects of BoP disequilibrium?

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- 2) Why is a persistent surplus in the current account not desirable? Give reasons.

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3) Why is a persistent deficit in the balance of payments undesirable?

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4) What policy measures are available for a country to achieve an improvement in a country's BoP?

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8.9 LET US SUM UP

In this unit, we discussed about various components of Balance of Payments. Balance of payments (BoP) is a record of the values of all economic transactions of a country with the rest of the world in a particular year. Two types of transactions dominate the balance of payments. One is *real assets* like the exchanges of goods and services and the other is *financial assets* consisting of the exchange of financial claims (for example, stock, bonds, loans, purchases or sales of companies) in exchange for other financial claims or money. *The Balance of Trade deals* only with the export and import of merchandise or visible items. It is just one part of the balance of payments.

The current account of the balance of payments refers to the monetary value of international flows associated with transactions in goods and services, income flows and unilateral transfers. Capital transactions consist of capital transfers and the acquisition and disposal of certain nonfinancial assets. Under *capital account*, there is only inflow and outflow of capital and the difference between the two represents a country's capital account balance.

Balance of payments accounts is constructed using a double entry accounting principle such that total credits equal total debits. Showing each credit and debit entry independently will not ensure that total credits equal total debits. Autonomous transactions are the transactions, undertaken for their own transactions. Accommodating transactions are the counterpart entries that total credits equal total debits and will usually be the financial counterpart or means of payment for the original autonomous transaction. Current account transactions are all autonomous, capital movements are capital account transactions can be both autonomous and accommodating transactions.

A deficit in BoP must be settled. A way to settle is by a transaction on the capital account. Contrary to the general perception, a current account deficit is not a sign of bad economic policy or bad economic conditions.

BoP is one of the major indicators of a country's status in international trade. International managers can use the balance of payments to forecast economic conditions and, in some cases, the likelihood of economic crises. The accounts do not tell what is good or bad, nor do they tell what is causing what. But they show what is happening so one can reach one's conclusions.

A deficit in BoP must be rectified by taking appropriate measures. There are many methods, important among them are monetary and non-monetary measures.

The non-monetary category includes trade policy for promoting exports and reducing imports. Capital inflows and Fiscal policy measures. Monetary measures include expenditure-switching policies which work through changes in relative prices. An important form of expenditure switching policy is the reduction in the foreign exchange rate of the national currency, namely, devaluation. The objective of expenditure-reducing policy in the economy relates to the fall in aggregate expenditure which works to reduce imports.

8.10 KEY WORDS

Accommodating transaction

One undertaken for the balance of payments purpose.

Autonomous transaction

One undertaken for its own sake.

Balance of payment (BoP)

This is a record of the value of all economic transactions of a country with the rest of the world for a particular year. It is the sum of current account and capital account transactions including the term of the official settlement.

Balance of trade

Refers to merchandise trade only i.e. receipts from exports less payment for imports of a country.

BoP account

Follows the double-entry bookkeeping method, which balances both the credit and debit sides. By this accounting method, the BoP of a country is always in balance.

Counterpart items

Certain items in the balance of payments exist only as counterpart items, introduced to balance the inclusion of other items that do not fall naturally into the double-entry system. The allocation of Special Drawing Rights (SDRs) is an example of an artificial counterpart item introduced into the balance of payments to offset the corresponding increase in SDRs holdings within official

reserves (as SDRs are no one sector's liabilities).

Expenditure reduction policy

Involves a reduction in aggregate demand in the domestic economy to improve the balance of payments position on the current account.

Expenditure-switching policy

Switches domestic and foreign demand away from foreign goods and towards home-produced goods.

Monetary movements

The items making monetary movements are as follows: miscellaneous capital, change in external liabilities and claims, change in the account with the I.M.F., and change in the gold and convertible currency reserves.

Rupee debt service

Interest payments on and principal repayments on account of civilian and non-civilian debt in respect of Rupee Payment Area (RPA), are clubbed together and shown separately under this item.

8.11 SOME USEFUL REFERENCES

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8.12 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

- 1) See section 8.3
- 2) See section 8.4.2
- 3) See section 8.4.3
- 4) See section 8.4.1
- 5) See section 8.2

Check your progress 2

- 1) See section 8.5
- 2) See section 8.5
- 3) See section 8.5
- 4) See section 8.5

Check your progress 3

- 1) See section 8.6
- 2) See section 8.6
- 3) See section 8.6
- 4) See section 8.6

Check your progress 4

- 1) See section 8.7
- 2) See section 8.7
- 3) See section 8.8
- 4) See section 8.8